Part F – Impact Estimation

1. Objective

Estimate the **business impact over the next 30 days** if the churn prediction model and retention program are launched.

The projection estimates:

- Expected churn reduction
- Revenue retained
- Cost of retention incentives
- Net financial impact

2. Baseline Business Metrics (Current State)

Assume the platform currently has the following metrics:

Metric	Value
Total Active Subscribers	100,000
Monthly Churn Rate	12%
Average Revenue Per User (ARPU)	₹500 / month
Monthly Revenue	₹5,00,00,000

Baseline Churn (Without Intervention)

12% churn → **12,000 users lost per month**

Revenue lost:

12,000 × ₹500= ₹60,00,000 monthly revenue loss

3. Retention Campaign Targeting

The model identifies **top churn-risk users**.

Segment	Users
High Risk	15,000
Medium Risk	20,000
Low Risk	65,000

Retention campaign targets:

High Risk + Partial Medium Risk

Total targeted users:

20,000 users

4. Projected Churn Reduction

Based on similar retention campaigns and intervention effectiveness.

Scenario Modeling

Scenario	Churn Reduction	Users Saved
Worst Case	5% reduction	600 users
Base Case	12% reduction	1,440 users
Best Case	20% reduction	2,400 users

5. Projected Revenue Retained

Revenue retained = Users saved × ARPU

Scenario	Users Saved	Revenue Retained
Worst Case	600	₹3,00,000
Base Case	1,440	₹7,20,000
Best Case	2,400	₹12,00,000

6. Estimated Cost of Incentives

Assume **30% of targeted users receive discount offers**.

Offer example:

15% discount on ₹500 plan

Discount value per user:

₹75

Users receiving offer:

30% × 20,000 = 6,000 users

Total incentive cost:

6,000 × ₹75 = **₹4,50,000**

7. Net Impact Summary

Scenario	Revenue Retained	Incentive Cost	Net Impact
Worst Case	₹3,00,000	₹4,50,000	−₹1,50,000
Base Case	₹7,20,000	₹4,50,000	**+₹2,70,000**
Best Case	₹12,00,000	₹4,50,000	**+₹7,50,000**

8. Additional Strategic Benefits

Beyond immediate revenue retention:

Improved Customer Lifetime Value

Retained users continue generating revenue beyond 30 days.

Better Product Engagement

Personalized content interventions increase usage.

Reduced Involuntary Churn

Payment retry improvements recover failed renewals.

Learning from Experiments

A/B tests help optimize future retention strategies.

9. Key Assumptions

These projections depend on the following assumptions:

1. Churn model correctly identifies **high-risk users**.
2. Retention interventions achieve **5–20% churn reduction**.
3. **30% of targeted users receive incentives**.
4. Average revenue per user remains **₹500/month**.
5. Customer behaviour remains similar to historical patterns.

10. Executive Summary (Leadership Ready)

If the retention program launches next month:

- We expect to **reduce churn by 5–20% among targeted users**
- This could retain **600–2,400 users**
- Resulting in **₹3L – ₹12L revenue retention**

After incentive costs:

Expected **net gain of ₹2.7L in base scenario**

Beyond short-term impact, the program creates a **scalable churn prevention system powered by predictive analytics**.